TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

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Commodity prices slip and the dollar softens before the RBA

> Weaker iron ore, copper and gold prices dragged on the sharemarket, and the Australian dollar slipped to about 70 US cents ahead of today's expected rate rise.

WHAT HAPPENED

- **AUD** fell 0.1% to 70.20 US cents.
- **Commodities:** iron ore was US$90.80 a tonne, copper fell 1.5%, and gold was near a one-year low.
- **ASX 200** fell 0.6% to about 8,857, led by miners. BHP fell 1.4% and Northern Star 4.8%.
- **Yield gap:** Australia's 10-year bond yield (5.13%) is above the US yield (4.93%), which supports demand for AUD assets.

KEY TERMS

Exchange rate: The price of one currency in terms of another (AUD/USD).

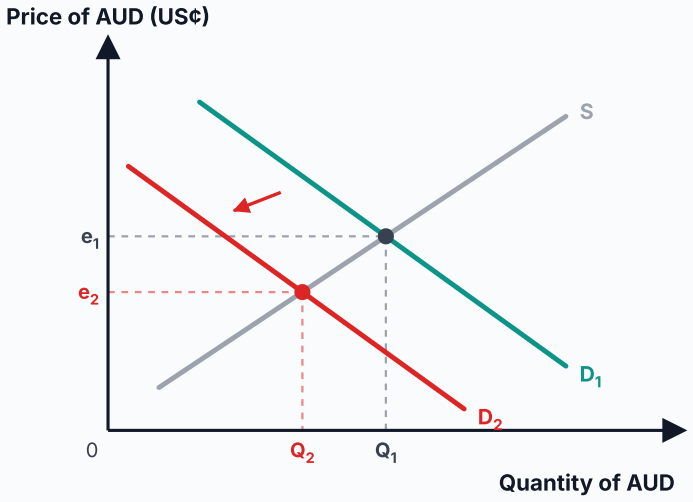
Interest-rate differential: The gap between Australian and overseas interest rates, which drives capital flows.

Terms of trade: Export prices relative to import prices.

BY THE NUMBERS

70.20¢ AUD in US cents, 2 Nov	**US$90.80** Iron ore a tonne
−0.6% ASX 200 on the day	**+0.20 pt** Aust. vs US 10-year yield gap

DIAGRAM — Falling commodity prices and the AUD



Lower commodity prices mean foreign buyers need **fewer Australian dollars** to pay for our exports. Demand for AUD shifts from **D_1 to D_2**, and the exchange rate falls from e_1 to e_2.

Diagram is illustrative, not to scale.

Exam angle: An RBA hike works the other way: a wider **interest-rate differential** attracts capital inflows, shifting demand for AUD right.

FLOW CHART — The chain of cause and effect

Commodity prices fall → Export receipts fall → Less demand for AUD → **AUD depreciates**

SYLLABUS LINK

Topic 2 – terms of trade, commodity prices and exchange rate determination.

TRY THIS

Explain two factors that influence the value of the Australian dollar, and how a change in its value affects the current account. **(5 marks)**

Sources: ABC News – business live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/asx-markets-business-live-news-nov-2/107334212